Comparative Financial and Working Capital Analysis: HCLTech, TCS & Infosys

Extracted_Data	INPUT sheet. Type figures from HCLTech's consolidated annual reports (Rs crore) ; Screener for TCS & Infosys
Calculation_Data	Working capital, liquidity ratios, DSO / DIO / DPO and cash conversion cycle.
YoY_Change	Year-over-year absolute change, % change, change in ratios and Improved / Worsened signal.
Peer Comparison	Comparison of HCLTech, TCS & Infosys on liquidity ratios, DSO, DPO, cash conversion cycle and NWC as % of revenue.

Colour legend	
Blue text	Input - from annual report of FY25-26
Black text	Formula on the same sheet
Green text	Formula pulling from another sheet

Extracted Data

Amounts in Rs crore. Source: HCLTech Annual Reports.

	HCL Tech		TCS		Infosys	
Item (Rs crore)	**FY2025**	**FY2026**	**FY2025**	**FY2026**	**FY2025**	**FY2026**
Profit & Loss						
Revenue from operations	1,17,055	1,30,144	2,55,324	2,67,021	1,62,990	1,78,650
Operating costs (total expenses excl. finance cost)	95,635	1,07,747	1,93,159	2,00,183	1,28,566	1,41,272
Current assets (Balance Sheet)						
Trade receivables-Billed	19,523	23,585	50,142	57,630	31,158	35,234
Unbilled revenue	6,319	7,956	8,904	10,084	8,183	10,064
Inventories	133	239	21	29		
Cash and cash equivalents	8,245	8,265	8,342	6,417	24,455	22,201
Other bank balances	13,044	15,160	7,121	6,417		
Current investments	7,473	6,960	30,689	33,770	12,482	12,950
Total current assets (as reported)	62,109	70,542	1,23,011	1,35,705	97,099	1,03,489
Current liabilities (Balance Sheet)						
Trade payables – billed	3,016	3,726	7,657	7,698	4,164	4,744
Trade payables – unbilled	3,209	3,980	6,252	7,110	-	-
Short-term borrowings	2,221	122	-	-	-	-
Total current liabilities (as reported)	28,039	31,826	53,001	60,914	42,850	52,322

Source: Annual Report 2025-2026 and Screener

Calculation Data - Working Capital Metrics

Assumption: 365 days used for DSO, DIO and DPO.

Days in year	365			
	HCL Tech		**TCS**	**Infosys**
Metric	**FY2025**	**FY2026**	**FY2026**	**FY2026**
Total trade receivables (billed + unbilled)	25,842	31,541	67,714	45,298
Total trade payables (billed + unbilled)	6,225	7,706	14,808	4,744
Working capital (Rs crore)				
Net working capital	34,070	38,716	74,791	51,167
Operating working capital	27,862	24,074	52,935	40,554
Cash and liquid investments	28,762	30,385	46,604	35,151
Liquidity ratios (times)				
Current ratio	2.22	2.22	2	2
Quick ratio	2.21	2.21	2	2
Cash ratio	1.03	0.95	1	1
Efficiency (days)				
DSO - Days Sales Outstanding	80.6	88.5	93	93
DIO - Days Inventory Outstanding	0.5	0.8	0	-
DPO - Days Payable Outstanding	23.8	26.1	27	12
Cash Conversion Cycle (days)	57.3	63.2	65.6	80.3
Other				
Net working capital as % of revenue	29.1%	29.7%	28.0%	28.6%

Year-over-Year Change - HCL Technologies

Item	FY2026	Comment
A. Absolute change (Rs crore)		
Revenue from operations	13,089	
Trade receivables	4,062	
Unbilled revenue	1,637	
Inventories	106	
Cash and liquid investments	1,623	
Trade payables	1,481	
Total current assets	8,433	
Total current liabilities	3,787	
Net working capital	4,646	
Operating working capital	(3,788)	
B. Percentage change		
Revenue from operations	11.2%	
Trade receivables	20.8%	
Unbilled revenue	25.9%	
Inventories	79.7%	
Cash and liquid investments	5.6%	
Trade payables	22.1%	
Total current assets	13.6%	
Total current liabilities	13.5%	
Net working capital	13.6%	
Operating working capital	(13.6%)	
C. Change in ratios and days		
Current ratio	0.00	
Quick ratio	(0.00)	
Cash ratio	(0.07)	
DSO (days)	7.9	
DIO (days)	0.3	
DPO (days)	2.3	
Cash conversion cycle (days)	5.8	
NWC as % of revenue (points)	0.6%	
D. Direction versus previous year		
Current ratio	Improved	Higher is better (liquidity)
Quick ratio	Worsened	Higher is better (liquidity)
DSO	Worsened	Lower is better (faster collections)
DPO	Improved	Higher keeps cash longer; too high risks vendor strain
Cash conversion cycle	Worsened	Lower is better (cash tied up for fewer days)

Peer Comparison of Working Capital Metrics:
HCLTech vs TCS, Infosys (FY2026)

Source: Annual Report 2025-26, Screener

Company	HCL Tech	TCS	Infosys	
Metric	FY2026	FY2026	FY2026	Comment
Current ratio	2.22	2.23	1.98	HCLTech's current ratio (2.22x) is comparable to TCS (2.23x) and higher than Infosys (1.98x), indicating strong short-term liquidity. Its ratio remained stable compared with the previous year, while TCS and Infosys declined.
Quick ratio	2.21	2.23	1.98	Almost identical to the current ratio at all three companies because inventory is negligible for IT services firms.
DSO - Days Sales Outstanding	88.46	92.56	92.55	HCLTech collects fastest (88 days vs about 92.5 for TCS and Infosys)
DPO - Days Payable Outstanding	26.10	27.00	12.26	HCLTech pays vendors in about 26 days, close to TCS (27) and well above Infosys (12). Infosys looks low partly because accrued expenses sit outside its trade payables, while HCLTech and TCS include them.
Cash Conversion Cycle (days)	63.16	65.61	80.29	HCLTech has the shortest cycle (63 days vs TCS 66 and Infosys 80). Infosys is overstated relative to peers because of the payables difference, so the HCLTech vs TCS gap of about 2.5 days is the reliable comparison.
Net working capital as % of revenue	29.1%	28.0%	28.6%	HCLTech 29.7%, TCS 28.0%, Infosys 28.6%. NWC includes cash and investments, so it partly reflects cash holdings. Operating working capital which favours HCLTech.